

Periodic KYC Review — Target Process

Financial Crime Operations · Process Management Office
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title: "Periodic KYC Review — Target Process" subtitle: "Draft Target Process (DTP) — Retail & Private Banking" author: "Financial Crime Operations · Pr

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Executive Summary

Periodic KYC Review is the recurring re-verification of a client's identity, beneficial ownership, source of wealth, and risk classification, executed on a cadence determined by the client's risk rating. It is the bank's primary ongoing-due-diligence control under the EU 6th Anti-Money Laundering Directive (AMLD6), the FINMA Anti-Money Laundering Ordinance (AMLO-FINMA) and the FATF Recommendation 10.

Why this DTP exists. The current process is paper-trailed, owned by Relationship Managers in spreadsheets, and overdue on roughly **18.4 %** of the High-Risk book as of Q1 2026. Two regulatory findings (BaFin §44 KWG inspection, Sep 2025; internal audit report IA-2025-117) have been raised against control execution, ageing and evidence completeness.

The target process moves Periodic KYC Review from an **RM-driven, document- gathering effort** to a **case-managed, data-led control** where:

- Reviews are triggered automatically by a central trigger engine — never by an RM remembering a date.
- ~62 % of Low- and Medium-risk reviews complete **straight-through** using authoritative data already held by the bank (no client contact).
- High-risk and PEP reviews escalate to a 4-eyes Financial Crime Officer with a structured evidence pack, not a free-form memo.
- The client touches the process at most **once**, via the bank's mobile app, and only when data the bank cannot infer is genuinely needed.
- Every decision carries machine-readable provenance back to the source record, the policy clause, and the reviewer's identity.

The headline targets.

Metric	As-Is (Q1 2026)	Target (Y+1)	Target (Y+2)
Reviews overdue (High-risk)	18.4 %	4.0 %	< 1.0 %
Median cycle time (Low-risk)	14 days	0 days (STP)	0 days (STP)
Median cycle time (High-risk)	47 days	18 days	12 days
RM hours per review	3.2 h	0.6 h	0.4 h
Client outreach rate	91 %	38 %	28 %
Cost per review (fully loaded)	CHF 312	CHF 118	CHF 84

This document presents the target process across five perspectives — process, risk & compliance, client experience, systems and transformation — and closes with the gap log and a 24-month transformation roadmap.

1 · Scope & Process Frame

1.1 In scope

- All natural-person clients of Retail Banking and Private Banking Switzerland, EU and UK booking centres.
- All legal-entity clients up to and including SME segment ($\leq$ CHF 50 m balance-sheet total).
- Recurring re-verification on the risk-rating-driven cycle (1 / 3 / 5 years).
- Event-triggered re-verification (sanctions-list hit, adverse-media flag, transaction-monitoring escalation, beneficial-owner change).

1.2 Out of scope

- Onboarding KYC (covered by the *Client Onboarding* process).
- Correspondent banking due diligence (separate process, RBC-CDD).
- Ad-hoc Enhanced Due Diligence triggered by Financial Crime investigations — handled by the FIU under a different SLA framework.

1.3 Process boundaries

Boundary	Trigger	Exit
Start	Review-due event emitted by the Trigger Engine	Case opened in the KYC Case Manager
End — happy path	Reviewer approval recorded	Risk rating refreshed, next-review date written back to client master
End — unhappy path	Senior FCO sign-off on exit / restriction	Client exit workflow opened or restrictions applied (debit block, product caps)

2 · As-Is — One-Page Summary

We document the As-Is here only to anchor the gap analysis; the full As-Is sits in <wiki/processes/periodic-kyc-review/>.

Today the process is:

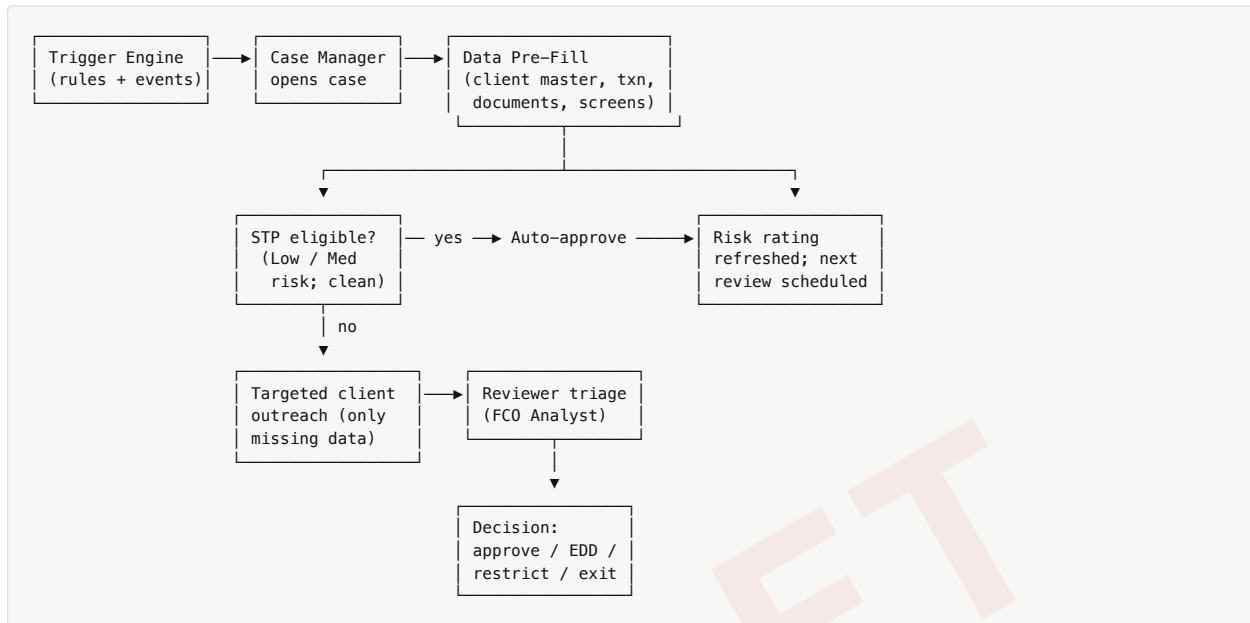
1. **Trigger.** RM receives a monthly Excel extract from Compliance listing her clients due for review. Owners change when an RM leaves; lists are not reconciled against the client master.
2. **Outreach.** RM contacts the client (email, phone, in person) and asks for refreshed ID, proof of address, source-of-wealth attestation and an updated client profile questionnaire.
3. **Documentation.** RM uploads scans to the shared drive `\\fileshare\KYC\Reviews\<year>\<RM>\` and emails Compliance Ops a filled-in cover sheet (Word template).
4. **Review.** Compliance Ops analyst checks the pack, runs a manual World-Check screen, and either approves, queries (back to RM) or escalates to the Financial Crime Officer.
5. **Sign-off.** FCO records the decision in the Compliance Log (SharePoint list), then the analyst updates the next-review date in the core banking system (Avaloq / Finnova).

Why it hurts.

- **No system of record.** Evidence lives in four places (shared drive, email, SharePoint, core banking). Reconciliation is manual.
- **No deterministic trigger.** A client whose RM leaves drops off the list for a full review cycle.
- **Over-collection.** Clients are asked for documents the bank already has in onboarding, transactions, or the customer master.
- **Opaque escalation.** Whether a case escalates to FCO depends on the analyst on duty, not a written rule.
- **Audit fragility.** Reconstructing why a review was approved requires pulling four artefacts, none of which are timestamped consistently.

3 · Target Process — End-to-End

3.1 Process flow at a glance



3.2 Step-by-step

STEP 1 — TRIGGER

Owner. KYC Trigger Engine (system). **Inputs.** Client master, last-review date, risk rating, event bus (sanctions, adverse media, transaction-monitoring, BO change). **Output.** ReviewDue event with reason code.

Triggers are deterministic and logged. A review fires when **any** of:

- The client's review cadence expires (Low 5y / Med 3y / High 1y).
- An event-based trigger fires: a sanctions/PEP hit, an adverse-media match above threshold, a transaction-monitoring case closure with recommendation RECHECK_KYC, or a confirmed beneficial-owner change.
- A regulatory or supervisory request mandates a refresh (e.g. country list change).

A ReviewDue event never silently expires. If it is not picked up within 72 hours, the Case Manager auto-opens the case and notifies the queue owner.

STEP 2 — CASE OPEN & PRE-FILL

Owner. KYC Case Manager (system). **SLA.** ≤ 5 minutes from trigger.

When the case opens it is pre-populated with everything the bank already knows:

- Identity documents and their expiry (Document Vault).
- Address on file (Client Master) plus the last three statement-delivery bounce-backs.
- Source-of-funds signal from the last 12 months of transactions (Transaction Datamart).
- Beneficial-owner graph (Entity Resolution Service).
- Latest sanctions / PEP / adverse-media screens (Screening Service).
- Last KYC decision and its evidence pack.

The case is assigned a **completeness score** (0–100) and an **STP eligibility flag**.

STEP 3 — STP DECISION

Owner. STP Decision Engine. **Eligibility.** Low or Medium risk **and** completeness ≥ 92 **and** no open screening hit **and** no event-based trigger **and** product mix unchanged.

If eligible, the engine:

- Refreshes the client's risk rating (re-running the rating model).
- Writes the new `nextReviewDate` to the client master.
- Posts the decision and the full evidence snapshot to the Audit Ledger.
- Notifies the RM (FYI) — no client contact.

If ineligible, the case is routed to **Reviewer Triage** with the reason spelt out (e.g. *"ID document expires in < 90 days; address bounce-back twice in 6 months"*).

STEP 4 — TARGETED OUTREACH (ONLY WHEN NEEDED)

Owner. Client Outreach Service. **Channel.** Mobile app (primary), secure message (secondary), RM-mediated for Private Banking.

The system computes the **minimal data delta** — what is missing or stale — and asks for **only that**. No re-collection of documents the bank holds and can still verify.

Examples:

- *"We last saw your ID in 2021 and it expires in July. Please upload an in-date copy and take a 30-second selfie video."*
- *"Your registered address bounced our last two statements. Please confirm it's still correct."*

Outreach uses a single thread, has a hard 30-day timeout, and falls back to RM-mediated outreach if the client does not respond on the digital channel.

STEP 5 — REVIEWER TRIAGE

Owner. Financial Crime Operations Analyst (FCO Analyst). **SLA.** 5 working days from case ready-for-review.

The analyst sees a single screen with:

- The completeness score and the explicit reason for non-STP.
- The full evidence pack, with provenance — every fact links to its source record.
- The risk model's rating with feature contributions.
- Open screening hits with the analyst's tooling to clear or escalate.

Decision options:

- **Approve.** Recorded with rationale.
- **Approve with conditions.** E.g. monitoring tier raised, debit cap applied, product restriction.
- **Refer to EDD.** Triggers the Enhanced Due Diligence subprocess.
- **Recommend exit.** Sent to FCO sign-off (Step 6).

STEP 6 — SIGN-OFF

Owner. Financial Crime Officer (FCO) — 4-eyes principle.

Mandatory for: High-risk clients, PEPs, recommend-exit decisions, approve-with-conditions where the condition restricts a regulated product, and a random 5 % QA sample of STP and analyst approvals.

Sign-off is recorded against the FCO's identity (SSO) and is immutable.

STEP 7 — CLOSE-OUT

Owner. Case Manager (system).

On approval:

- Risk rating refreshed.

- Next review date written to the client master.
- Outreach threads archived to the case.
- Audit Ledger entry sealed.
- RM notified (informational).

On exit / restriction:

- Client Exit workflow opened, or product / channel restrictions applied via the Restrictions Service.
 - Customer Communications notified to draft the regulatory-compliant exit letter.
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4 · Roles & Responsibilities (RACI)

Activity	RM	FCO Analyst	FCO	Trigger Engine	Case Mgr	STP Engine
Detect review-due	I	I	I	R/A	C	—
Open case	I	I	—	C	R/A	—
Pre-fill case	I	I	—	C	R/A	C
STP decision	I	I	I	—	C	R/A
Targeted outreach	C	R	I	—	A	—
Triage non-STP	I	R/A	C	—	C	—
4-eyes sign-off	I	C	R/A	—	C	—
Close-out	I	I	I	—	R/A	—
Client exit drafting	C	C	A	—	—	—

R = Responsible · A = Accountable · C = Consulted · I = Informed

The RM remains the **client owner** but is no longer the **process owner** for Periodic KYC Review. This separation is the single most important organisational decision in this DTP.

5 · Risk & Compliance View

5.1 Regulations addressed

Regulation	Article / clause	What this process satisfies
AMLD6 (EU 2018/1673)	Art. 13(1)(d)	Ongoing monitoring + periodic review
AMLO-FINMA (FINMA-RS 2016/7)	§22, §23	Re-verification of identity and beneficial owners
FATF Recommendation 10	(d)	Ongoing due diligence
GwG (CH)	Art. 6	Special clarification obligations on increased risk
BaIT (DE BaFin)	AT 4.3	IT-based control execution, evidence completeness
GDPR	Art. 5(1)(c), Art. 25	Data minimisation in outreach; privacy-by-design pre-fill

5.2 Key controls

ID	Control	Type	Frequency	Owner	Evidence
KYC-C-01	Deterministic trigger of every review	Preventive	Continuous	Trigger Engine	ReviewDue event log + reconciliation report
KYC-C-02	Pre-fill completeness ≥ 92 for STP	Preventive	Per case	STP Engine	Completeness audit
KYC-C-03	4-eyes sign-off on High / PEP / exits	Preventive	Per case	FCO	Sign-off ledger
KYC-C-04	5 % random QA on STP and analyst approvals	Detective	Per case	QA Team	QA scorecards
KYC-C-05	Aged-case escalation (> SLA)	Detective	Daily	Case Manager	Aged-case report
KYC-C-06	Sanctions-screen re-run at sign-off	Preventive	Per case	Screening Svc	Screening evidence
KYC-C-07	Immutable audit ledger of decisions	Detective	Continuous	Audit Service	Ledger hash chain

Every control writes to the Audit Ledger with the case ID, the actor (human or system), the policy clause it satisfies, and the timestamp. This is the contract that closes the BaFin §44 finding on evidence completeness.

5.3 Residual risks accepted

- **Model risk on STP eligibility.** The risk-rating model can drift. *Mitigation:* quarterly model validation by Model Risk Management, challenger model in shadow, and hard caps on STP share ($\leq 70\%$).
- **Outreach fatigue on Private Banking.** PB clients react poorly to digital outreach. *Mitigation:* RM-mediated channel preserved for PB, with the same data-minimised payload.
- **Data quality in legacy entity records.** Beneficial-owner graphs for entities onboarded pre-2018 are incomplete. *Mitigation:* remediation programme PRJ-ENT-BO (separate plan).

6 · Client Experience View

6.1 Principles

1. **The bank goes first.** We use what we have before we ask.
2. **One thread, one ask.** A review is one conversation, not three.
3. **Be honest about why.** Every outreach states the reason in plain language and links to the regulatory basis.
4. **Respect the channel.** Mobile app for Retail, RM for Private Banking, secure message for clients without the app.
5. **No silence.** The client sees their KYC status and next review date in the app at all times.

6.2 The client's journey

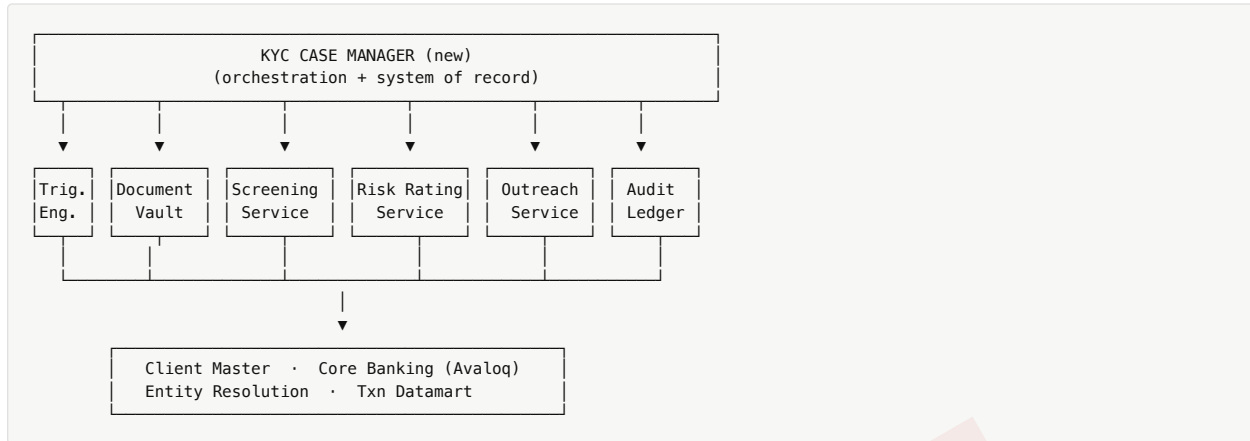
Moment	What the client experiences	Friction we removed
Review starts	Most clients: nothing. ~62 % STP, silent.	Quarterly RM phone call asking "have you changed anything?"
Outreach (when needed)	One in-app prompt: <i>"Quick KYC check — 2 minutes."</i>	Email + paper form + scan + return-trip to branch
Information request	Pre-filled where possible; only delta asked.	Re-uploading the ID the bank already holds
Status visibility	"Your KYC is up to date until 14 Aug 2029."	No visibility; clients found out at the next outreach
Decision	Push notification on approval.	Silent close; no acknowledgement

6.3 Competitor CX benchmarks

Bank	KYC outreach cadence felt by client	Channel mix	Time-to-complete (median)
Revolut	Once every ~2 years; ~30 sec in-app	App only	< 5 minutes
Monzo	Event-triggered, rarely cyclical	App only	< 10 minutes
UBS	Annual for HNW; RM-mediated	RM + secure msg	3–5 days
Our target	~62 % silent; rest in-app or RM	App + RM (PB)	< 1 day median

7 · Systems & Integrations View

7.1 Target system landscape



7.2 System inventory

System	Role	Build / Buy	Status
KYC Case Manager	Orchestration + SoR	Buy (Fenergo / ComplyAdvantage)	RFP Q3 2026
Trigger Engine	Deterministic triggering	Build	In design
STP Decision Engine	STP eligibility	Build (rules + ML model gate)	In design
Document Vault	Identity docs, SoW evidence	Existing (Hyland)	Integrate
Screening Service	Sanctions / PEP / adverse media	Existing (Dow Jones RC)	Re-contract
Risk Rating Service	Client risk score	Existing (model rebuilt 2025)	Connect
Outreach Service	Client-facing digital outreach	Existing mobile platform	Extend
Audit Ledger	Immutable decision log	Build (hash-chained)	In design
Entity Resolution	Beneficial-owner graph	Existing (Bvd Orbis + internal)	Connect
Transaction Datamart	SoW signal	Existing	Connect

7.3 Critical integrations

- **Trigger Engine** → **Case Manager**: event-driven, idempotent, with reconciliation against the client master nightly.
- **Case Manager** → **Audit Ledger**: every state transition, hash-chained, retained 10 years (matches AMLD record-keeping).
- **Outreach Service** → **Mobile App**: uses the same secure-message rail as transactional approvals; supports step-up auth.
- **Case Manager** → **Core Banking**: writes back `nextReviewDate`, `riskRating`, and any restrictions via the existing client-master update API.

8 · Transformation Decisions

The decisions we are taking, with the alternatives we considered and the reason for the call.

D1 · SEPARATE PROCESS OWNERSHIP FROM CLIENT OWNERSHIP

Decision. Periodic KYC Review is owned by Financial Crime Operations. The RM owns the client relationship but is **not** accountable for review execution. **Alternatives considered.** Keep RM-owned with better tooling. **Rationale.** The root cause of overdue reviews is incentive misalignment, not tooling. RMs are measured on AUM and revenue; periodic reviews are a cost. Moving accountability to FCO and reducing RM involvement to a consultation role removes the incentive conflict.

D2 · BUY THE CASE MANAGER, BUILD THE BRAIN

Decision. Buy a vendor case-management platform (Fenergo or ComplyAdvantage Mesh). Build the Trigger Engine, the STP Decision Engine, and the Audit Ledger in-house. **Alternatives considered.** Build everything; buy everything. **Rationale.** Case management is a commodity; integration depth and configurability matter more than uniqueness. The trigger / decision / audit layer **is** our competitive and regulatory differentiator and must not be a black box to FCO and Internal Audit.

D3 · STP CAP AT 70 %

Decision. Hard cap STP share at 70 % of the eligible book, even if the model would route more. **Alternatives considered.** Let the model decide; cap at 50 %. **Rationale.** 70 % balances cost-out against the supervisory expectation that human review remains a material control. The cap is removable when challenger model validation has run for ≥ 12 months.

D4 · DIGITAL OUTREACH AS DEFAULT, RM-MEDIATED AS A FALL-BACK

Decision. All non-PB outreach defaults to the mobile app, with RM-mediated as a 30-day fall-back. PB stays RM-mediated. **Alternatives considered.** Email; branch visit; phone. **Rationale.** Mobile app outreach has a 7-day median completion in the pilot vs. 21 days for email; RM-mediated remains essential for PB tone-of-voice and for clients without the app (~9 % of the book).

D5 · ONE AUDIT LEDGER, APPEND-ONLY, HASH-CHAINED

Decision. A single audit ledger for all KYC decisions, append-only, with a Merkle hash chain checkpointed to an external timestamping authority weekly. **Alternatives considered.** Trust SharePoint logs; trust the case manager's internal log. **Rationale.** Closes the BaFin \$44 finding decisively. The hash chain makes silent tampering detectable; the external checkpoint defends against insider edits. Cost is low ($\leq$ CHF 60k / year).

D6 · SINGLE REVIEW SLA FRAMEWORK, NO SEGMENT CARVE-OUTS

Decision. One SLA framework with risk-rating-driven tiers, applied identically across booking centres. **Alternatives considered.** Per-country SLAs reflecting local norms. **Rationale.** Group internal audit has flagged inconsistency between booking centres twice. A single framework is defensible to the lead supervisor (FINMA as group regulator).

9 · Gap Log & Remediation

#	Gap	Severity	Owner	Target close
G-01	No deterministic trigger; 18 % overdue on High-risk	Critical	FCO + IT	Q4 2026
G-02	Evidence scattered across 4 systems	Critical	IT	Q1 2027
G-03	No 4-eyes enforcement on High / PEP	High	FCO	Q3 2026 (interim policy) / Q1 2027 (system)
G-04	Outreach is paper / email	High	Digital	Q2 2027
G-05	No KPI on cycle time per risk tier	Medium	PMO	Q3 2026
G-06	Beneficial-owner graphs incomplete pre-2018	Medium	Data	Q4 2027 (remediation programme)
G-07	QA sampling ad-hoc, not statistical	Medium	QA	Q4 2026
G-08	Risk-rating model not validated under STP load	Medium	MRM	Pre-go-live
G-09	Client visibility of KYC status absent	Low	Digital	Q3 2027
G-10	Exit-letter templates not centralised	Low	Legal	Q1 2027

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10 · KPIs & Measurement

We measure four things, every month, on one page.

1. **Coverage.** % of due reviews completed on time, by risk tier.
2. **Efficiency.** Median cycle time, RM hours per review, cost per review.
3. **Client experience.** Outreach rate, NPS delta after KYC contact, % of reviews completed without client contact.
4. **Quality.** QA pass rate, audit finding count, % of STP cases reversed on QA.

Target dashboards are owned by the PMO and reviewed monthly with the Head of Financial Crime Operations and quarterly with the Operational Risk Committee.

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11 • Roadmap

2026 Q3	Trigger Engine MVP • Interim 4-eyes policy • QA sampling redesign
2026 Q4	Case Manager RFP closed • STP Engine in shadow mode (no decisions)
2027 Q1	Case Manager go-live (Retail pilot) • Audit Ledger live • STP at 30 %
2027 Q2	Digital outreach live (Retail) • STP at 50 %
2027 Q3	Private Banking on Case Manager • Client KYC-status visible in app
2027 Q4	STP at 70 % (cap) • B0 remediation programme complete
2028 Q1	EU booking centre cutover • BaFin re-inspection target
2028 Q2	Steady state • model challenger active • STP cap review

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Appendix A · Glossary

- **STP** — Straight-Through Processing. A case that completes without human intervention because the data is complete and the risk is low.
- **EDD** — Enhanced Due Diligence. The deeper review applied to high-risk clients, PEPs, and complex structures.
- **PEP** — Politically Exposed Person.
- **SoW / SoF** — Source of Wealth / Source of Funds.
- **BO** — Beneficial Owner.
- **FCO** — Financial Crime Officer (the senior accountable role).
- **DTP** — Draft Target Process.

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Appendix B · Open questions for the steering committee

1. Do we accept the 70 % STP cap, or commission a challenger-model study to justify a higher cap from go-live?
2. Is Private Banking willing to commit to a maximum 24-month transition to digital-default outreach, or is RM-mediated permanent?
3. Buy decision for the Case Manager — RFP scoring should weight integration over feature breadth. Agreed?
4. Audit Ledger external timestamping authority — vendor choice ties to a 10-year contract; legal review needed.
5. Booking-centre cutover sequence — Retail-CH first or Retail-DE first? Driven by BaFin re-inspection timing.

This document is a draft target process (DTP) for steering committee review. It does not constitute approved policy. Once approved, the contents will be migrated to the file-backed wiki under `wiki/processes/periodic-kyc-review/` and become the source of truth.

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